



FIB

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INDIVIDUAL PRESENTATION

Client: Mr. Rahul Shukla

Roll No. 25PGDM090

Submitted By

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The Client – Brief Introduction

Simple view of the client's financial position and goals

- Client: Mr. Rahul Shukla.
- Annual household income: ₹41.64 lakh.
- Household expenses: ₹22.20 lakh per year.
- Existing annual investments: ₹8.40 lakh.
- Emergency reserve already available: ₹12.00 lakh.
- Main goals: insurance, tax saving, home maintenance, car, child education, higher education, retirement and legacy.

Planning objective First secure the basics, then invest the remaining surplus according to the importance and time period of each goal.

Current Cash Flow and Net Worth of the Client

Particulars	Annual Amount
Annual household income	₹41,64,000
Less: household expenses	(₹22,20,000)
Less: existing annual investments	(₹8,40,000)
Annual unallocated surplus	₹11,04,000
Monthly unallocated surplus	₹92,000

Emergency fund

₹12.00 lakh

Required = ₹11.10 lakh (6 months of expenses)

Result: adequate — no additional emergency allocation.

Net worth

A complete assets and liabilities statement was not provided, so no net-worth figure has been assumed.

Risk Profile of the Client

Overall profile: Moderate Risk Investor

RISK PROFILE

MODERATE

Why?

- Income is stable and the client has a positive surplus.
- Existing investments show that the client is already saving regularly.
- At the same time, there are important family and long-term commitments.
- So, the same level of risk should not be taken for every goal.

Time horizon	Approach	Simple reason
1–2 years	Safety + liquidity	Goal is close
5 years	Balanced	Need growth, but with control
11–20 years	Growth-oriented	More time is available

As the goal gets closer, the investment should gradually move towards safer assets.

Three Front Security – Is Your Client Fully Secured?

Emergency fund → Insurance → Revised surplus

1. EMERGENCY FUND

Monthly expenses = ₹1,85,000

6-month requirement = ₹11,10,000

Existing = ₹12,00,000 → adequate

2. MEDICAL & LIFE INSURANCE

Keep ₹75,000 per year as an additional provision for strengthening medical and/or life insurance wherever required.

3. REVISED CASH FLOW

Particulars	Amount
Original surplus	₹11.04 L
Less: insurance provision	₹0.75 L
Revised additional surplus	₹10.29 L
Monthly revised surplus	₹85,750

Existing annual investments

₹8.40 L

Total annual investment capacity

₹18.69 L p.a. | ₹1,55,750/month

Investment Plan for Each Goal

Goal	Time	Future value	Required SIP
Insurance protection	1 yr	₹79,500	₹6,420
Tax-saving requirement	1 yr	₹2,00,000	₹16,150
Home maintenance	2 yrs	₹3,37,080	₹13,100
Car purchase	5 yrs	≈ ₹20,07,000	₹25,900
Child education	5 yrs	≈ ₹16,05,800	₹20,700
Investment / SIP corpus	5 yrs	≈ ₹13,38,000	₹17,300
Higher education	11 yrs	≈ ₹75,93,000	₹28,000
Retirement	20 yrs	≈ ₹8,01,80,000	₹81,000
Estate / legacy	20 yrs	≈ ₹6,41,000	₹1,230

Assets Allocation

Allocation is based on the available ₹1,55,750 per month

Asset bucket	Monthly amount	%	Used mainly for
Liquid / low-risk	₹35,675	22.9%	1–2 year goals
Balanced growth	₹40,845	26.2%	Medium-term goals
Growth-oriented	₹79,230	50.9%	Long-term goals
TOTAL	₹1,55,750	100%	Entire available capacity

- Short-term money is kept safer because the goal is near.
- Medium-term money gets a balance of growth and stability.
- Long-term money can take more growth exposure because there is more time.
- Risk is reduced as each goal comes closer.

Summary of the Investment Plan

Goal	Required SIP	Priority in current plan
Insurance	₹6,420	Fund
Tax saving	₹16,150	Fund
Home maintenance	₹13,100	Fund
Car	₹25,900	Phase / reduce
Child education	₹20,700	Fund
Investment corpus	₹17,300	Flexible / defer
Higher education	₹28,000	Fund
Retirement	₹81,000	Priority / phase
Estate	₹1,230	Fund

Total calculated requirement ≈ ₹2,09,800/month vs available ₹1,55,750/month.

Explain the Reasons for Variance

Why the calculated requirement is higher than the available surplus

CALCULATED SIP NEED

≈ ₹2,09,800 / month

AVAILABLE CAPACITY

₹1,55,750 / month

SHORTFALL

≈ ₹54,050 / month

- The client has many goals with different time horizons, so the total calculated SIP becomes high.
- Future goal values increase because of inflation.
- The assumed returns may not be achieved every year.
- Unexpected expenses or missed SIPs can create a further gap.
- Therefore, flexible goals should be phased instead of forcing every goal into the current cash flow.

Best response: increase investments gradually with income growth and redirect completed-goal SIPs to the next priority.

What Next?

- 1. Keep the ₹12 lakh emergency reserve untouched except for genuine emergencies.
- 2. Review actual life and health insurance needs and use the ₹75,000 annual provision where required.
- 3. Start investments for the priority goals within the ₹1,55,750 monthly capacity.
- 4. Keep short-term goals in safer options; use diversified growth investments for long-term goals.
- 5. Increase SIPs whenever income rises and redirect completed short-term SIPs to long-term goals.
- 6. Review the plan every year and update goal values, returns, insurance and cash flow.

Final takeaway

Rahul is financially stable, but he should follow a priority-based and phased investment plan rather than trying to fund every goal at once.